

SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer 1(a)

The risk of material misstatements relating to revenue recognition in terms of occurrence is low:

- Approximately 87% of product sales are traded with well-known distributors in Hong Kong, Taiwan, and Singapore who have been the business partners with Dymi for many years. Dymi has no new distributor this year.
- The remaining 13% of product sales are generated from self-operated stores. The customers are retail customers involving a large volume of transactions but in relatively small amounts.
- Though Dymi further expanded its business to operating a café and organising workshops and events, the target customers are retail customers, and transactions are mostly settled via electronic payments. Thus, opportunities for creating fictitious sales tend to be low.

Answer 1(b)(i)

In response to Dymi's launch of customer loyalty programme and implementation of the new point-of-sales system and the Dymi APP, ABC & Co has assessed that the risk of material misstatements relating to revenue recognition in terms of accuracy is high. Reasons as below:

- Dymi launched its customer loyalty programme in February 2021. Customers who purchase Dymi products can earn points for cash discounts on future purchases or services. The points provide a material right to customers that they would not receive without entering into a contract. Therefore, the promise to provide points to customers is a performance obligation of Dymi. Dymi should allocate the transaction price to the product and the points on a relative stand-alone selling price basis, which requires management judgement and estimates. In addition, since this is the first year that Dymi launched its customer loyalty programme, there may be lack of sufficient historical data, especially on point redemption rates, for management to assess the estimates.
- Dymi implemented a new point-of-sales system during the year that connects to all its online and offline stores and to stores operated by its chain distributors. Dymi also upgraded its Dymi APP, which now shows customers their points earned and cash coupons redeemed, used, and expired. The new point-of-sales system and the Dymi APP are a highly customised system and application which are much more complex than any packaged solutions. Any interface problems, together with any data and/ or system implementation issues, may pose risks that the revenue and deferred revenue amount may not be accurately recognised in consolidated financial statements of Dymi.

Answer 1(b)(ii)

The proposed audit procedures to address the risk of material misstatements identified in Question 1(b)(i) in terms of accuracy include the following:

(i) Relating to the launch of customer loyalty programme

- Review the terms and conditions of Dymi's customer loyalty programme to assess the appropriateness of Dymi's accounting treatment on points granted to the customers;
- Discuss and obtain an understanding from management on: (i) how they allocate the transaction price to the product and the points on a relative stand-alone selling price basis; and (ii) how they estimate the points would be redeemed by customers by considering the point expiry date;
- Assess the reasonableness of management's estimate and judgements applied on estimating the allocation of transaction price to product and the points as well as the point redemption rate by customers; and
- Perform test of detail on data used by management to develop their basis on allocation of transaction price to the product and the points as well as the estimated redemption rate of customers using the points for future purchases or services.

(ii) Relating to the implementation of the new point-of-sales system and the Dymi APP

- Understand from management the change of processes and controls relating to revenue recognition in relation to the implementation of the new point-of-sales system and the Dymi APP;
- Perform walkthrough test to confirm the new process and controls relating to revenue recognition;
- Evaluate and validate the key controls relating to revenue recognition upon implementation of the new system and APP;
- Test IT general controls of the new point-of-sales system;
- Test the automated control over the transfer of data between the new point-of-sales system, the Dymi APP, and the general ledger of the company; and
- Review management's reconciliation of daily sales, points earned, expired, and redeemed of each store to the monthly summary of each store, bank statement, and general ledger.

Answer 2(a)

I disagree with Sean's risk assessment and consider the risk of material misstatement of expected credit losses on trade receivables to be high. Reasons are as below:

- The trade receivable balance amounted to HK\$164 million as at 31 December 2021, representing 22% of the total asset. The provision against the trade receivables for the year ended 31 December 2021 amounted to HK\$30 million. Both exceed the overall materiality of HK\$13 million and are regarded as significant to the consolidated financial statements of Dymi.
- The trade receivables as at 31 December 2021 increased by 138% compared to 2020, which is not in proportion to the increase of revenue of 31%. The trade receivable turnover day significantly increased from 28 days in 2020 to 51 days in 2021.
- Management simply fully provided for the HK\$30 million trade receivables due from the two distributors in Hong Kong and Taiwan which are in financial difficulty without the considering the possibility that these receivables could be recovered.
- Management also simply considered that no expected credit loss is required against any of the trade receivables due from the other distributors given there was no history of default of any of them in the past without considering the facts that certain distributors delayed their payments and without considering the possibility that the pandemic may impact the financial liquidity of these distributors.
- Management does not intend to estimate the expected credit losses of the trade receivables due from its distributors in accordance with HKFRS 9 *Financial Instruments*, which requires significant management estimates and judgements.
- It is highly likely that both the trade receivable balance as at year end and the loss allowance for expected credit loss amount for the year would be misstated without a detailed impairment assessment performed.

Answer 2(b)

The proposed audit procedures to address the risk of material misstatements identified in Question 2(a) include the following:

- Discuss and challenge Dymi management on whether they have properly followed HKFRS 9 in performing management's assessment on impairment of trade receivables.
- Request management to complete a detailed assessment on the expected credit loss on trade receivables in accordance with HKFRS 9 and to provide such assessment to the audit team.
- After receiving the detailed assessment from management, discuss with management to understand the methodology as well as the assumptions used in the assessment.
- Assess whether management has applied HKFRS 9 simplified approach to measure expected credit losses against the trade receivables. The HKFRS 9 simplified approach uses a lifetime expected loss allowance for all trade receivables.
- Assess how management measures the expected credit losses, and, particularly, whether management perform segregated analysis on trade receivables and group the trade receivables based on shared credit risk characteristics of its customers. For example, Dymi has distributors in Hong Kong, Taiwan, and Singapore, all of which face different economic environments and are, therefore, highly likely to be subject to different credit risk characteristics. Dymi has distributors in financial difficulty and has delays in settlements in the current year, which indicate that these distributors may be subject to different risk characteristics from other distributors.
- Review management's trade receivable impairment assessment in detail and assess if management has adopted a reasonable approach to categorise their customers into different risk buckets when assessing impairment provision.
- Assess whether management has considered other factors such as current and forward-looking information on macroeconomic factors affecting the ability of the distributors to settle the receivables in their assumptions used in estimating the future expected credit losses.
- Perform independent search on major distributors of Dymi to understand if there are other distributors who are facing financial problems.
- Understand from management and perform independent search on the financial conditions of the two distributors who are in financial difficulty.
- Discuss with management and obtain management's assessment with detailed supporting documents on how management considers a full provision should be made against the two distributors in financial difficulty. Discuss and challenge management on whether there will be possibility that a portion of the outstanding receivables could be recovered from the distributors, and, based on such to estimate the lifetime expected credit losses of these two distributors.

- Develop a point of estimate based on information obtained from discussion with management and independent search results, and use this estimate as a reference point to challenge and discuss with management the reasonableness of management's estimates.

Answer 3(a)

The risk of material misstatement relating to right-of-use assets in terms of completeness is low. This is because Dymi only has a limited number of stores (8 stores in total), which is relatively easy to manage in calculating the right-of-use assets of each store. The addition of the right-of-use assets is supported by lease contracts entered into with the respective landlords. The lease contracts are with clearly specified terms on rental periods, rent-free periods, rent per month, rental payment dates, etc.

The risk of material misstatement in terms of accuracy is high. Though the lease terms are clearly specified in the lease contracts, the landlords have given Dymi the options of early contract termination or extension of the contracts upon advanced notice or expiry. Significant management judgement and estimate is required on whether these options will be exercised. At the initial recognition of these right-of-use assets, management determines the duration of the lease period by estimating the likelihood of the options being exercised when calculating the amount of right-of-use assets. Since the new concept stores are large in floor area, whether to include the options in the initial recognition of the right-of-use assets would have significant financial impact on the right-of-use assets balance and the consolidated financial statements of Dymi.

Answer 3(b)

The audit procedures include the following:

- Obtain from management the lease contracts newly entered into during the year, and review the lease terms and conditions specified in the contracts in detail, including terms related to restoration.
- Obtain from management the right-of-use asset calculation, and test the mathematical accuracy of the calculation.
- Test the completeness and accuracy of each of the calculation parameters used by management in the calculation. These calculation parameters included the lease period, monthly rent, duration of rent-free period, restoration cost, etc.
- For the newly entered leases, discuss with management how they determine the discount rate adopted for the lease liabilities and right-of-use asset calculation and assess if there is an implicit interest rate in the lease. If the lease payment is discounted using the incremental borrowing rate, perform independent research to assess the reasonableness of the incremental borrowing rate adopted by management to calculate the lease liabilities and right-of-use assets.

- Discuss and understand with management the assessment on whether the early termination option or the contract extension option will be exercised, and obtain from the management the related supporting evidence.
- Based on the information and related supporting evidence provided by management, evaluate the reasonableness of management's estimated likelihood of the option being exercised.
- Perform a reasonableness test on the monthly amortisation charge of the right-of-use assets.
- Understand from management and test whether there are lease modifications, including rent concession, that occurred during the year of which adjustments to the right-of-use assets balance should be considered.

Answer 4(a)

The mandatory disclosures relating to the board of directors in a corporate governance report should include the following:

- Composition of the board, by category of directors, including names of the Chairman, executive directors, non-executive directors, and independent non-executive directors ("INED").
- The number of board meetings held during the financial year.
- Attendance of each director, by name, at the board and general meetings. For each named director, the number of board or committee meetings he attended and, separately, the number of board or committee meetings attended by his alternate.
- A statement of the respective responsibilities, accountabilities, and contributions of the board and management. In particular, a statement of how the board operates, including a high-level statement on the types of decisions taken by the board and those delegated to management.
- Details of any non-compliance with appointment of a sufficient number of INEDs and appointment of an INED with appropriate professional qualifications, or accounting or related financial management expertise.
- Reasons why the issuer considers an INED to be independent where he/she fails to meet one or more of the guidelines for assessing independence.
- Relationship (including financial, business, family, or other material/ relevant relationship(s)), if any, between board members and in particular, between the Chairman and the Chief Executive.
- How each director, by name, complied with the Principles and Code Provisions relating to "Responsibilities of directors" to participate in continuous professional development and refresh their knowledge and skills.

Answer 4(b)

According to the Hong Kong Corporate Governance Code, the board of directors should present

a balanced, clear, and comprehensible assessment of the company's performance, position, and prospects. The board of directors should also be responsible for maintaining an on-going dialogue with shareholders and, in particular, use annual general meetings or other general meetings to communicate with them and encourage their participation.

In response to Dymi's latest business development in the year, it is noted that there are certain significant business development made in the year, such as the opening of three concept stores, the launch of the customer loyalty programme, and the new system implementation, etc. The board of directors has the responsibility to ensure the financial impact of these significant business development be accurately and completely reflected in the interim financial information/ year-end financial statements of Dymi and with sufficient disclosures made in the interim financial information/ year-end financial statements for the financial statements readers to understand the facts.

The board of directors should also consider providing relevant explanations on the significant business development and the financial impact on Dymi in the "Management discussion and analysis" section in the annual report.

Since the performance results of Dymi in 2021 have been advancing compared to 2020, instead of waiting till the release of the interim/ year-end results announcement and the interim/ annual report, the board of directors should consider issuing a business update announcement or profit alert announcement to keep Dymi's shareholders informed by the latest business development of Dymi.

In addition, in the annual general meeting, the board of directors also has the responsibility to address inquiries from shareholders on business and financial matters of the company.

The board of directors should also set up an investor relationship protocol and encourage shareholders to raise inquiries via the protocol, if necessary.

* * * END OF SECTION A * * *

SECTION B – ESSAY / SHORT QUESTIONS (Total: 50 marks)

Answer 5

To: Richard Chan

From: Thomas Lee

Date: Exam date

Subject: Reporting on Cho Kee's Sewage System Limited's independence issues

The firm has audited the financial statements of Cho Kee for many years. As a new engagement team member, I would like to report to you there are several incidences which may impair our independence.

Preparation of financial statements

During the year, due to the resignation of the audit client's financial controller, their directors request the audit team to prepare Cho Kee's financial statements. Helping the audit client to prepare the financial statements will create a self-review threat.

The threat is so significant that there is no safeguard that can be put in place. We should decline the directors' request to prepare the financial statements.

Given the lack of qualified personnel to prepare the financial statements, the management expects material misstatements which may give rise to many proposed audit adjustments to the financial statements. This will again create a self-review threat. Accordingly, we should request the management immediately implement a remediation plan to improve the quality of its accounting function, such as by recruiting a competent financial controller to supervise Cho Kee's financial reporting.

Long association with an audit client

The firm has been auditors for Cho Kee for many years. If the same senior audit personnel (e.g. audit engagement partner) have been involved with Cho Kee over a long period, familiarity and self-interest threats are created. Safeguards include rotation of senior audit personnel off the engagement team or review of the work of that member by an individual not involved in the audit, and internal and external quality reviews of the engagement.

Investment stating at fair value

During the year, Cho Kee has made an investment in a private entity. This investment is carried at fair value. The management is not competent enough to determine the fair value by themselves since they are not experts. The management will take up the fair value determined by our internal expert. This could create a self-review threat.

A safeguard can be applied by requesting Cho Kee engage an external valuer to determine the fair value of the investment for the management.

Tax partner engagement

In addition, I realised that Cho Kee has proposed engaging our tax partner as their representative to negotiate with the IRD on a dispute. As this tax partner also assisted us with the financial audit, this will create self-review and advocacy threats. The tax partner may assume a management role where there is a threat to independence. The audit team can arrange another tax partner to assist with the financial audit. Otherwise, the tax partner should decline the management's proposed appointment.

Conclusion: With the appropriate safeguards in place, I consider that the independence threats are mitigated.

Answer 6(a)

The current year's misstatement represents accounting errors.

The prior year's uncorrected misstatement has resulted in the overstatement of the current year's payroll costs by HK\$0.9 million.

Considering the turnaround effect from the prior year, the net payroll expenses for the current year were understated by HK\$1.4 million, which is less than the materiality level of HK\$1.5 million.

Considering there may be a tax impact on this misstatement, the after-tax impact is expected to be less than HK\$1.4 million.

As the primary user of the financial statements is its shareholder, Mr Adam Au, who is also the director who prepares the financial statements, it is considered that management has no intention to overstate its profit.

Given that the primary users of the financial statements is the shareholder and the net impact of misstatement accounted for 4.4% of the profit, this is not considered to be material to the financial statements.

Answer 6(b)

The current year's misstatement represents judgemental difference.

The primary user who is the shareholder, Mr Brian But, is fully aware of this judgemental difference, therefore, it appears that there is no intention to understate its loss.

The financial statements are unlikely to have any significant impact on its tax liability since it is a loss-making entity.

The misstatement represents 4.2% of the loss for the year and 4.4% of the intangible asset. In addition, the misstatement is less than the materiality of HK\$3 million.

The unrecorded misstatement is considered to be not material.

Answer 6(c)

The current year's classification error has distorted the comparability of the financial statements, even if this error does not have any impact on Company C's net profit.

If the current year classification error is not adjusted, Company C will present an upward trend for its gross profit margin from the prior year to the current year.

Accordingly, the current presentation of an increase of 2% in gross profit margin in terms of magnitude would distort the true financial performance (a drop of 11%) materially.

In addition, the current presentation may assist management to achieve its key performance indicator as it had showed a stable gross profit margin situation when compared to the previous year.

The unadjusted classification error for the current year is therefore a material misstatement to the financial statements.

Answer 7(a)

The current year's improvement of relocating the servers to a separate place with restricted access can reduce the likelihood of unauthorised access which may cause damages to the hardware.

However, it cannot mitigate the risk of unauthorised changes to programmes and data due to the lack of software security controls.

In addition, any network connected to the Internet has a risk of cyber-attack and it is difficult to harden a network against a sophisticated cyber-attack without compromising usability and accessibility.

To address the software access controls, user authorisation measures including the need for usernames and passwords to access software and data files can be used to reduce the risk.

These usernames should have access restrictions that ensure users have access to the software programmes and data required by their role.

Controls that can mitigate the risk of a cyber-attack include application whitelisting, patching of applications, patching operating systems, restricting administrative privileges, disabling untrusted Microsoft Office macros, user application hardening (i.e., preventing the use of tools such as Flash and Java and disabling unneeded features in ubiquitous software such as Microsoft Office), multi-factor authentication (for example, security tokens for privileged actions by users), and the daily offline backup of important data.

Regularly updated anti-virus software serves to limit the impact of virus and ransomware attacks.

Answer 7(b)

Based on management's responses regarding the improvements as set out in the question, the remediations are unable to mitigate all the risks because it has not addressed to the risk of unauthorised access to the software and data and the risk of cyber-attacks. Accordingly, the current year's IT general control is still ineffective.

With IT general controls being assessed as ineffective, the audit team can test its manual controls if the manual controls are key, therefore the audit team is not required to test its application controls.

However, if the application controls are key controls to the significant processes, the audit team may still need to test the application controls with a larger sample size.

Answer 8(a)

Based on the given facts, the following unusual or unexpected relationships are identified:

- iHom serves approximately 20 properties, but it has 30 dormant entities. It appears that there are too many dormant entities in the group which are not operating.
- iHom is engaged in property management which does not involve of a lot of bank transactions -- it is not usual to manage more than 300 bank accounts.
- Each Group A2 bank account has an average balance of less than HK\$100,000 -- it is not expected to keep these bank accounts with insignificant balances.
- iHom's operation is in Hong Kong, however, it has bank balances in USD and RMB.
- iHom maintains 67 bank accounts with no balances.
- iHom's principal activities are property management, but it has invested a significant amount of wealth management products, which does not appear to be part of its principal activities.
- iHom has a significant amount of bank borrowings, but it also maintains a significant amount of bank balances and even time deposits instead of settling the bank loans.

Answer 8(b)

Reasons to justify the audit team's strategy for the selection of bank accounts to send confirmations:

- Confirmations are sent to all Group A1 bank accounts with a balance of more than HK\$100,000 because it is material.
- Although Group A2 bank accounts comprises individual insignificant balances, it is unusual for iHom opening so many bank accounts with insignificant balances. In order to ascertain there are no irregularities that may arise from these unusual situations, the audit team should circularise confirmations to all of these bank accounts. In addition, the aggregated balances of these bank accounts are significant to the financial statements.
- For Group A3, it is abnormal to keep so many bank accounts with no balance. To ensure there is no irregularities noted, the audit team should send bank confirmations to confirm these accounts with no balance or were closed by the year-end date.
- Confirmation should be sent to this bank account with wealth management products because the balance is material.
- Confirmations should be sent to these two bank accounts with time deposit because the balance is material and through confirmation, the audit team can confirm the terms of these time deposit.
- All bank accounts with bank loans as to ascertain whether there may be other unrecorded liability, guarantees which may not be recorded by iHom.

* * * END OF EXAMINATION PAPER * * *